

INTERNAL AUDIT REPORT

Approval Controls Audit | Report No. AR-02342

Report ID:	AR-02342
Audit Type:	Approval Controls Audit
Report Date:	January 04, 2026
Audit Period:	2025-04-23 to 2025-12-17
Lead Auditor:	Christopher Moore (EMP-65381)
Reviewed By:	Tyler Mathews (EMP-36716)
Primary Vendor Reference:	RapidCore Consulting LLC (VND-00756)
Subject Employee Reference:	Adam Hoffman (EMP-45661)
Primary Transaction Reference:	TXN-801386
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This approval controls audit covered the period 2025-04-23 to 2025-12-17 and examined transactions, approvals, and compliance records associated with vendor RapidCore Consulting LLC (VND-00756) and employee Adam Hoffman (EMP-45661). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-801386 (amount 485,937.79 EUR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00474 7	MEDIUM	VENDOR RISK	Payment issued to VND-VND-00958 rated MEDIUM risk. Active contract CON-105491 in place. Enhanced due diligence not documented.
FND-00440 3	MEDIUM	VENDOR RISK	Vendor YellowBridge Partners Inc holds CRITICAL risk rating. 7 payments totalling \$5,870 processed in the audit period.

Finding ID	Severity	Category	Description
FND-00477 1	CRITICAL	POLICY BREACH	Claim EXP-178744 violates Policy POL-0020 section 4.2: Consulting expenditure capped at \$500,000 per event.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000090	AUDIT REPORT	EVD-KXO-3244	0.52
EVI-001893	CONTRACT RECORD	EVD-KTW-2594	0.61
EVI-002860	POLICY DOCUMENT	EVD-NEY-8662	0.62
EVI-003310	COMPLIANCE RECORD	EVD-HRR-4497	0.90
EVI-004399	DNS LOG	EVD-TDF-8523	0.75
EVI-008580	POLICY DOCUMENT	EVD-NLE-6503	0.71

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Require compliance certificate verification as a system gate prior to payment release.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Christopher Moore	EMP-65381	2026-01-04
Reviewing Officer	Tyler Mathews	EMP-36716	2026-01-06